Disbursement of SME Equipment Loans

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1. Purpose and scope

This policy fixes the rules for the payment of an equipment loan to a small or medium enterprise. The bank pays each loan in two tranches against supplier invoices. The policy applies to each equipment loan from 10,000 EUR to 500,000 EUR with a term of 12 to 84 months. It runs from the acceptance of the loan offer to the payment of the second tranche.

2. Roles

1. The **SME client advisor** collects the supplier documents and follows the file until the last tranche.
2. The **credit analyst** checks the repayment capacity, the own contribution and the quotation of the equipment.
3. The **legal officer** registers the pledge on the equipment and checks the guarantee documents.
4. The **risk officer** owns the conditions precedent checklist of each tranche.
5. The **branch director** approves each tranche above the threshold of section 5.
6. The **disbursement officer** (back office) prepares and controls each payment in a maker-checker pair.

3. Procedure

1. **File assembly.** The SME client advisor gives the bank the accepted loan offer, the purchase order and the pro forma invoice of the supplier within 2 working days after the acceptance of the offer. Decision: the file is complete, or the advisor requests the missing documents.
2. **Financial check.** The credit analyst confirms the debt service coverage ratio and the own contribution within 1 working day. Decision: confirm, or return the file.
3. **Security.** The legal officer registers the pledge on the equipment and checks the business guarantee within 5 working days. Decision: clear, or reject the file.
4. **Tranche preparation (maker).** A disbursement officer prepares each tranche request within 1 working day after the receipt of a supplier invoice. The officer matches the invoice against the purchase order and the quotation. Decision: match, or return to the advisor.
5. **Tranche control (checker).** A second disbursement officer controls the tranche calculation and the conditions precedent checklist within 4 working hours. Decision: approve, or return.
6. **Approval.** The branch director approves each tranche above 150,000 EUR within 1 working day. Decision: approve, or reject.

7. **First tranche.** The back office pays 60 % of the loan amount within 24 hours after the last approval. The payment goes only to the supplier account that the invoice shows.
8. **Second tranche.** The back office pays the remaining 40 % within 24 hours after the delivery note and the final invoice of the supplier. The officer records the end use of the funds within 5 working days after the payment.

> A tranche request with a missing document goes back to the maker and to the SME client advisor. The advisor has 5 working days to give the document. After two returns, the branch director decides. The bank pays no tranche to the account of the client or to an account outside the invoice.

4. Conditions precedent

The bank pays no tranche before the checklist below is complete.

1. The debt service coverage ratio of the company is 1.25 or more.
2. The own contribution of the company is 15 % or more of the equipment cost.
3. Both parties signed the loan agreement and the guarantee.
4. The supplier invoice shows the same equipment reference as the purchase order, and an amount equal to or more than the tranche.
5. The total of the paid tranches is not more than the loan amount.
6. A test transfer confirmed the supplier account, and the account name matches the name on the invoice.
7. The insurance policy on the equipment is present not later than 10 days after the delivery.
8. The client accepted the loan offer not more than 30 days before the first tranche.

5. Thresholds and escalation

Case	Rule
Tranche above 150,000 EUR	The branch director approves the tranche before the payment.
Tranche above 300,000 EUR, or total loan above 500,000 EUR	The credit committee approves in addition to the branch director.
More than 60 days between the first tranche and the delivery note	The advisor informs the risk officer. The second tranche waits for a written explanation of the supplier.
Missing document	The request goes back to the advisor, with 5 working days to complete it.

6. Records and audit

The back office stores the file, the invoices and the delivery notes for 10 years. Each payment order keeps the loan reference and the name of the maker and of the checker. The internal audit samples 5 files per quarter and checks this policy.